Funding Shock Stress Test: Communities In Schools of Chicago

Independent analysis of public IRS Form 990 data, FY2021-FY2025, with a FY2026-FY2028 forecast

Bottom line. CIS of Chicago does not face a near-term cash crunch: unrestricted reserves stay above the 3-month floor through FY2028 in every scenario, largely because about **$5.3M of donor-restricted pledges** is released into operations. The real problem is **structural**: recurring revenue falls **$1.1M-$2.2M a year** short of costs, so CIS needs about **$1.8M a year in one-time gifts** (about $7.2M every 4 years, 44% more than its ~$5M historical gift) just to stand still. Without new gifts, reserves would run out around **FY2031**.

Key findings

- **Revenue depends on large, irregular gifts.** Contributions are about 89% of revenue, and large gifts appear in FY2019, FY2022 and FY2023. Revenue went from $4.4M (FY2021) to $11.1M (FY2023) and back to $7.0M (FY2025), while expenses rose every year, from $5.3M to $8.1M (about 11% a year).
- **The runway depends on restricted money reaching operations.** Unrestricted reserves cover 9.5 months, down from 15.1 in FY2022. Half of the $12.9M in net assets ($6.5M) is donor-restricted, mostly pledges receivable ($6.4M) that become spendable as donors pay; in FY2025 these releases lifted unrestricted net assets $191k despite a $1.1M deficit. The release assumption is the biggest swing factor: with no new gift, FY2028 runway ranges from 1.2 months (no releases) to 9.4 months (everything released). The base case releases down to $1.24M, the five-year low.
- **Efficiency has been below sector guidelines since FY2022.** Program services were 69-72% of spending in FY2022-FY2025 (76.6% in FY2021; guideline 75%+), and fundraising rose to 16-17%. The cost to raise $1 was $0.18 in FY2021, $0.10 in FY2023 and $0.22 in FY2025.

Stress test, FY2026-FY2028

Scenario	What changes	Runway, end FY2028	Range (no release to all)	One-time gifts needed / yr
Base	Next $5M gift in FY2027	10.9 mo	4.4 - 12.5 mo	$1.8M
No major gift	No new large gift	7.8 mo	1.2 - 9.4 mo	$1.8M
Government cut	Government grants fall 50%	9.1 mo	2.5 - 10.6 mo	$2.3M
Cost discipline	Expenses grow 3% instead of 6%	14.0 mo	6.9 - 15.7 mo	$1.3M
Combined shock	No gift and government cut	6.0 mo	(0.6) - 7.5 mo	$2.3M

Runway = unrestricted net assets / monthly expenses; 3-month floor. Balancing FY2026 without one-time gifts would take 20% more recurring revenue, or an equivalent cut in expenses.

Recommendations

- **Close the structural gap, starting with cost growth.** Holding expense growth to about 3% a year cuts the one-time gifts needed to $1.3M a year (about $5.1M every 4 years, in line with past gifts) and keeps runway near 14 months. It is the one lever fully in management's control.
- **Grow recurring, unrestricted revenue.** Seek multi-year unrestricted commitments, expand school service contracts (flat at about $560k for five years), and bring the cost to raise $1 back toward $0.10.
- **Manage reserves on an unrestricted, cash basis.** Track pledge collections against the release schedule, since the runway depends on $6.4M of pledges being paid; set a 6-month unrestricted reserve target with a hiring trigger; and treat government grants ($989k, up from $43k in FY2022) as at-risk funding.

Assumptions and limits

Source: CIS of Chicago Form 990s, FY2021-FY2025 (fiscal years end June 30); FY2025 is the latest filed. Base case: non-government giving +3% a year; government grants and school contracts flat; expenses +6% a year; a $5M gift every 4 years, released over 4 years; existing restricted net assets released evenly over FY2026-FY2028 down to $1.24M. Gift timing is irregular, so the per-year need is the more robust figure. 'Runs out around FY2031' holds the FY2028 deficit flat, so it is optimistic. Not affiliated with CIS of Chicago; not financial advice.